Unfortunately, the disaggregated data on capital expenditure made on digital hardware, network connections and software out of the total capital expenditure on machinery and equipment is not separately available.

Services are getting far more digitalized than goods, especially financial, accounting, communication, entertainment and transportation services. More than 90 per cent of payments by value are now made digitally. Most banking services are consumed digitally. Many movies and television and sports programmes are produced and delivered digitally.

As the digital equipment and machinery to produce and deliver these services are not produced domestically, there is a heavy dependence on imports. Electronic imports exceed $50 billion and are the second largest item of imports, comprising over 10 per cent of total import bills. India has been good at delivering software services but even basic software for digitalizing economic processes is imported in large quantities.

The digitalization of the economy is progressing, but is still at a relatively nascent stage.

India Yet to Arrive in the Digital Age

UNCTAD publishes an annual Digital Economy Report. In the 2019 edition, the report states that ‘the world is only in the early days of the data-driven economy’, despite stellar progress. A perusal of the report indicates that India is still a relatively minor player. Look at these numbers.

First, global internet protocol traffic, which was only 100 GB per day in 1992, grew to 100 GB per second in 1992 and a little under 50,000 GB per second in 2017.

Second, the digital economy is highly concentrated in two countries: the US and China, which enjoy 90 per cent of market capitalization value of the world’s seventy largest digital platforms.

Third, 40 per cent of colocation data centres in February 2019 were in the US; India had only 3 per cent.